



Iran ceasefire: an end in sight?

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Context

- On 7 April, the US and Iran agreed to a two-week ceasefire with Iran agreeing to re-open the Strait of Hormuz. The US has halted Trump's threat of an imminent large-scale military action. Both sides have agreed that the ceasefire period will be used for intensive diplomacy aimed at a longer-term solution.
- The situation remains extremely fragile as the two sides postures continue to widely diverge on Iran's nuclear programme, the pace of sanctions relief, potential reparations, Iranian support for its proxies, and long-term control of the Strait of Hormuz. While the ceasefire marks a temporary de-escalation, the crisis remains unresolved, with risk of renewed conflict depending on the outcome of ongoing negotiations.

What happens next?

- A "deal," which has been, and continues to be, our baseline scenario allows all parties to walk away "relative" victors. The US can credibly claim to have significantly degraded Iran's ability to project power beyond its borders, particularly through sustained strikes on missile infrastructure, command networks and elements of its regional proxy architecture. At the same time, Iran can argue that it has demonstrated resilience and deterrent credibility. Israel can point to successfully degrading the missile and military infrastructure of one of its greatest existential threats.
- Despite the precarious nature of the ceasefire, we assess that the probability of a longer-term solution is strong given the longer this crisis lasts, the greater the incremental gains for the US will encounter growing diminishing returns. We have already witnessed increasing domestic and international pressure on Trump, which we expect will only increase as the economic fallout of crisis persists and expands.

Victory Without Peace?

- However this ends, it will be a **gamechanger for the Middle East**. The long-standing Middle East geopolitical equilibrium has been shattered. A new, highly unpredictable reality will emerge, leaving a multitude of critical questions about the shape of the post-conflict landscape.
- We judge that **Iran's calculus** that it could endure more pain than its adversaries' political systems could tolerate have played out in its favour despite the significant costs. Iran will likely walk away from this conflict with enhanced leverage over the Strait of Hormuz, potential sanctions relief, and with greater political leverage having withstood the US and Israeli attacks. It will, however, need to cautiously rebuild relations with the Gulf.

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- **The Gulf has been paying the price** of the US/Israeli action having faced hundreds of missiles and drones over the past month. The Gulf is no longer buffered from conflict. Consequently, its relationship with the US will inevitably be impacted. We expect to see a diversification in Gulf relations in the aftermath of the acute crisis.
- **Israel and Lebanon** : Israel's military operations against Hezbollah could continue unabated despite the ceasefire with Iran. There appear to be differentiated opinions on whether Lebanon was meant to be included in the ceasefire. Nonetheless, we expect Israel to continue to make inroads in Lebanon and beyond to seize the moment to expand operations to target adversaries.
- From a geostrategic perspective, both **China and Russia are benefiting** in positioning themselves as defenders of international law and the post-WWII order. They are also likely benefiting from President Trump's hawkish foreign policies in recent weeks, which is creating significant volatility for allies and adversaries alike. They may be able to make inroads with regional allies in the aftermath of the crisis.



Appendix 1

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